

ORDER INTAKE SSP ALLOCATION — PRIOR AUDIT PLAN & TESTING SUMMARY

Prior Audit Planner Output

WORK PAPER ID	WP-ORD-002	AUDIT CYCLE	FY2025 Q1
DATE PREPARED	February 2025	POLICY TESTED	POL-ORD-002 v1.0
CONTROL ID	CTRL-REV-015	PROCESS AREA	Order-to-Cash (O2C)
PREPARED BY	Internal Audit Team	STATUS	CLOSED — superseded Jun 2025

SUPERSEDED

Historical version retained for audit trail, prior-period testing and control traceability.

1. Audit Objective

To assess whether SSP allocation for multi-element Order Intake arrangements was performed in accordance with POL-ORD-002 v1.0 (Standalone List Price method), and to evaluate control CTRL-REV-015.

2. Background and Scope

This audit plan covers multi-element contracts (HW/SW + Services) booked as Order Intake between October 2024 and January 2025.

3. Key Risk Indicators (KRIs)

KRI ID	KRI Description	Related Policy Clause	Risk Rating
KRI-005	SSP allocation not recalculated using approved list price method	Section 5.1, 5.2	High
KRI-006	Allocation variance >20% booked without Finance Manager sign-off	Section 7	High
KRI-007	Incorrect deliverable categorization (HW/SW vs Services)	Section 2	Medium

4. Audit Planning Steps

4.1 Step Mapping to Policy Clauses

Step #	Audit Step Description	Policy Clause Tested	Related KRI
1	Recalculate SSP allocation using Standalone List Price formula	5.2	KRI-005
2	Compare recalculated allocation to booked system values	5.2, 6	KRI-005
3	Identify allocations with variance >20% and confirm sign-off	7	KRI-006
4	Validate deliverable categorization against contract terms	2	KRI-007

4.2 Sample Selection Approach

- Population: Multi-element contracts booked Oct 2024–Jan 2025 (n = 58)
- Sample size: 10 contracts, judgmentally selected to include higher-value and higher-variance arrangements

5. Testing Procedures Performed

- Obtained standard list price catalogue from Pricing Team
- Recalculated SSP allocation using the approved formula
- Compared recalculated allocation to system-booked values
- For variances >20%, traced to Finance Manager sign-off evidence

6. Findings Summary

6.1 Recalculation Results

Contract ID	Deliverable	List Price	Recalculated Allocation	Booked Allocation	Variance
C-2041	HW/SW	30	27.90	27.90	0%
C-2041	Services	10	3.10	3.10	0%
C-2077	HW/SW	45	38.25	31.00	-18.9%
C-2077	Services	15	12.75	20.00	+56.9%

Overall: 8/10 contracts matched recalculation within tolerance; 2/10 exceeded the 20% threshold.

Exception: Contract C-2077 showed a 56.9% variance on Services with no documented Finance Manager sign-off, representing a control breach under Section 7.

7. Prior Period Recommendations

- Transition from unweighted Standalone List Price to a weighted allocation approach
- Lower the sign-off variance threshold from 20% to a more conservative level
- Implement system-enforced sign-off workflow

8. Forward-Looking Note for Next Cycle

Group Finance was expected to publish an updated SSP allocation methodology introducing a Weighted Factor per deliverable category later in 2025. The next cycle should re-baseline the recalculation approach using the new Relative SSP formula and re-test the approval variance threshold.

9. Revision History

Version	Date	Summary of Change
1.0	Feb 2025	Initial work paper issuance

CLOSED WORK PAPER

WP-ORD-002 | FY2025 Q1